

#NameTelecom Limited
Statement of Financial Position
As on June 30, 2024

Particulars	NOTES	Amount in (Taka)	Amount in (Taka)
		2023-2024	2022-2023
<u>ASSETS</u>			
<u>A) Non-Current Assets</u>		9,850,000	10,411,237
Property, Plant and Equipment	ANN-A	9,850,000	10,411,237
<u>B) Current Assets</u>		2,300,000	40,073,057
Advance & Prepayments	4	450,000	5,300,000
Cash & Bank Balance	5	2,300,000	34,773,057
Total assets (A+B)		12,600,000	50,484,294
<u>EQUITIES & LIABILITIES</u>			
<u>A) Shareholders' Equity</u>			
Share Capital	6	10,000,000	50,100,000
Retained Earnings	7	2,100,000	(4,101,835)
Total Shareholder Equity		12,100,000	45,998,165
<u>B) Current Liabilities</u>		500,000	386,129
Accounts Payable		200,000	12,512
Provision for expenses	8	300,000	373,617
Total Shareholders' Equity and liabilities (A+B)		12,600,000	46,384,294

Annexed notes form an integral part of these financial statements.

Managing Director

Chairman

Place: Dhaka

Dated:

#Name Telecom Limited
Statement of Comprehensive Income
For the Year Ended 30 June, 2024

<u>Particulars</u>	<u>Notes</u>	Amount in (Taka)	Amount in (Taka)
		2023-2024	2022-2023
Revenues	9	15,000,000	17,049,347
Cost of Services Sold	10	10,500,000	14,375,845
Gross Profit/(Loss)		4,500,000	2,673,502
Operating Expenses			
Administration & Selling Expenses	11	1,800,000	2,884,940
Finance Expenses	12	100,000	5,574
Operating Profit		2,600,000	(217,012)
Other Income		-	-
Net Profit/(Loss) before Tax		2,600,000	(217,012)
Income Tax Expenses		90,000	102,296
Net Profit/(Loss) after Tax		2,510,000	(319,308)

Managing Director

Chairman

Place: Dhaka

Dated:

#Name Telecom Limited
Statement of changes in equity
For the year ended June 30, 2024

Particulars	Share Capital	Share Premium	Retained Earnings	Revaluation Reserve	Equity Total
Balance at July 01, 2022	49,800,000	-	(319,308)	-	49,480,692
Net Profit/(Loss) for the year			(319,308)		(319,308)
Balance at June 30,2023	49,800,000	-	(638,616)	-	49,161,384

Balance at July 01, 2023	10,000,000	-	(410,000)	-	9,590,000
Net Profit/(Loss) for the year			2,510,000		2,510,000
Balance at June 30,2024	10,000,000	-	2,100,000	-	12,100,000

Annexed notes form an integral part of these financial statements.

Managing Director

Chairman

Signed in terms of our separate report of even date annexed.

Place: Dhaka

Dated:

#Name Telecom Limited
Statement of Cash Flows
For the year ended June 30, 2024

PARTICULARS	2023-2024	2022-2023
	Taka	Taka
a. CASH FLOWS FROM OPERATING ACTIVITIES:		
Cash Collection from Sale	15,000,000	17,049,347
Other Income	-	-
Less: Cash Payment for purchase	(10,500,000)	(14,375,845)
Less: Cash Payment for Operating Activities	(1,990,000)	(2,992,810)
Less: Preliminary Expenses	-	-
Less: Deferred revenue expenses	-	-
Less: Advance & Prepayments	4,850,000	-
Add: Provision for expenses	113,871	-
Total Cash Flow From Operating Activities	17,049,347	(319,308)
b. CASH FLOWS FROM INVESTING ACTIVITIES:	(2,992,810)	
Acquisition of property, plant and equipment & Intangibles	109,069	132,950
Disposal of Property ,Plant and Equipment	-	-
Net cash used in investing activities	(111,169)	132,950
c. CASH FLOWS FROM FINANCING ACTIVITIES:	(319,308)	
Repayment of secured bank loan	113,871	-
Payment made to Loan to other sources	(524,745)	-
Repayment/Finance of lease finance	-	-
Repayment of short term bank loan (CC)	-	-
Share premium received	-	-
Issue of share capital	-	-
Net cash inflow/(out flow) from financing activities	132,950	-
	132,950	
Net cash surplus/(deficit) during the year(a+b+c)	800,000	(186,358)
Cash and cash equivalent at the beginning of the year	1,500,000	34,959,415
Cash and cash equivalent at the end of the year	2,300,000	34,773,057

Annexed notes form an integral part of these financial statements.

#Name Telecom Limited
Notes to the Financial Statements
For the year ended June 30, 2024

1.00 Reporting Entity

1.01 Legal form of the Entity

Demo Telecom Limited is a private limited company incorporated in Bangladesh on under the Companies Act 1994 .

1.02 Nature of Business Activities

The principal activities of the company are to carry on the business of Telecommunication, information technology (IT) indenting, Importing, exporting, consulting commission agency, clearing and forwarding, manufacturing, supply, carrying, wholesale and retail business.

2.00 Basis of Preparation of Financial Statements

2.01 Statement of Compliance

The financial statements have been prepared in accordance with the International Accounting Standard (IAS), International Financial Reporting Standards (IFRS), Companies Act 1994 and others applicable laws and regulations in Bangladesh.

2.2 Authorization for issue

The financial statements were approved by the Board of Directors of the company.

2.3 Basis of measurement

The financial statements have been prepared on the historical cost convention.

2.4 Going Concern

The company has adequate resources to continue in operation for the foreseeable future. The current credit facilities and resources of the company provides sufficient fund to meet the present requirements of its existing business. For this reasons the directors continue to adopt going concern basis in preparing the financial statements.

2.5 Functional and presentational currency

These financial statements are prepared in Bangladesh Taka (Taka/Tk.) which is the Company's functional currency. All financial information presented in Taka has been rounded off.

2.6 Use of estimation and judgments

The preparation of financial statements in conformity with BFRS requires management to make judgments, estimates and assumptions that effect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

2.7 Comparative information and Re-arrangement thereof

Comparative information has been disclosed in respect of the previous year for all numerical information in the financial statements and also the narrative and descriptive information where it is relevant for understanding of the current year's financial statements. Certain figures for previous year have been rearranged wherever considered necessary, to ensure better comparability with the current year's financial statements and to comply with relevant IAS.

2.8 Reporting Period

The financial statements covers one financial year from 1st July, 2023 to 30th June, 2024 of following year consistently.

3 Significant Accounting Policies

The accounting policies set out below have been applied consistently to all periods presented in these financial statements.

3.1 Foreign Currency

Translation in foreign currencies are translated to the functional currencies at an exchange rate applicable on the date of transactions. Monetary assets and liabilities denominated in foreign currencies at the reporting date are translated to the functional currency at the exchange rate prevailing at that date. Foreign exchange differences arising on translation are recognized in statement of comprehensive income. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of transactions.

3.2 Property, plant and equipment

3.2.1 Recognition and measurement

Property, plant and equipment have been stated at written down value of cost and revalued amount. Accumulated historical cost and depreciation have been shown in the Financial Statements. The cost of acquisition comprises of purchase price, including import duties and non-refundable Taxes and any directly attributable cost of bringing the assets to its working condition for its intended use. Expenditure incurred after the assets have been put into operation, such as repairs and maintenance is normally charged off as revenue expenditure in the period in which it is incurred. In situation where it can be clearly demonstrated that the expenditure has resulted in an increase in the future economic benefit expected to be obtained from the use of the PPE, the expenditure is capitalized as an additional cost of the PPE.

The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized as non operating income and reflected in the Statement of Profit or Loss and other Comprehensive Income.

3.2.2 Depreciation

Depreciation on Property, Plant & Equipment other than Land and land development has been computed during the year using the straight line method so as to write off the assets over their expected useful life. Depreciation has been charged from the date when the property was available for use.

After considering the useful life of PPE as per IAS-16, the annual depreciation rates have been applied as under which is considered reasonable by the management.

Furniture & Fixture	10%
Land and Land	0%
Office Equipment	10%
Computer & Accessories	20%

3.2.3 Intangible Assets

An Intangible asset is recognized if it is probable that the future economic benefits that are attributable to the asset will flow to the entity and the cost of assets can be measure reliable. Software represents the value of computer application to the company. Intangible assets are carried its cost, less accumulated amortization and any impairment loss. Intangibles with indefinite useflu life are not subject to amortisation.

3.2.4 Impairment of assets

All fixed assets have been reviewed and it was confirmed that no such fixed assets have been impaired during the year and for this reason no provision has been made for Impairment of assets.

3.3 Provisions

In accordance with the guidelines as prescribed by IAS-37: Provisions, Contingent Liabilities and Contingent Assets, provisions are recognized in the following situations:

- a. When the company has an obligation (legal or constructive) as a result of past events;
- b. When it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation; and
- c. Reliable estimates can be made of the amount of the obligation.

3.4 Revenue recognition policy

a) Sale of Services

Revenue from the sale of services is measured at the fair value of the consideration received or receivable, net of returns, trade discounts and volume rebates as per IFRS-15. Revenue is recognized when the significant risks and reward of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of services can be estimated reliably & there is no continuing management involvement with the goods sold. Transfer of risk and rewards occurs for the sale of services when the services is delivered along with dispatch documents and invoices to customers.

b) Interest income is recognised when it is credited by respective bank.

3.5 Income Tax & Deferred Tax

Income tax expenses is recognized in accordance with IAS-12 and Income Tax Ordinance 1984.

3.6 Financial Instruments

A financial instrument is any contract that gives rise to a financial asset of one entity and a financial liability or equity instrument of another entity.

3.06.1 Financial Assets

Financial assets of the company include cash and cash equivalents, equity instrument of another entity, trade receivable and other receivables. The company initially recognizes receivable on the date they are originated. All other financial assets are recognized initially on the date at which the company becomes a party to the contractual provisions of the transaction. The company derecognizes a financial asset when and only when contractual rights or probabilities of receiving the cash flows from the assets expire or it transfer the rights to receive the contractual cash flows on the financial asset in a transaction in which substantially all the risk and reward of ownership of the financial assets are transferred.

3.06.2 Cash and Cash Equivalents

According to IAS 7 'Statement of Cash Flows ' cash comprises of cash in hand, demand deposits and cash equivalents which are short term highly liquid investments that are readily convertible to cash and which are subject to an insignificant risk of changes in value. IAS 1 "Presentation of Financial Statements" provides that Cash and Cash Equivalents are not restricted in use. Considering the provision of IAS 7 & IAS 1, Cash in Hand & Bank Balances have been treated as Cash & Cash Equivalents.

3.06.3 Available for Sale of Financial Assets

During the year the company had no financial asset for sale.

3.06.4 Trade Receivable

Trade Receivable is carried at invoice amount without making any provision for doubtful debts.

3.06.5 Financial Liabilities

The company initially recognizes financial liabilities on the transaction date at which the company becomes a party to the contractual provisions of the liability. The company derecognises a financial liability when it's contractual obligations are discharged or cancelled or expired. Financial liabilities are recognised initially at fair value less any directly attributable transactions costs. Subsequently to initial recognition, these financial liabilities are measured at amortised cost using the effective interest method. Financial liabilities include loan and borrowing, trade creditors, liabilities for expenses and liabilities for other finance.

3.7 Financial expenses

Financial Expenses (Borrowing Cost) incurred during the year was recognized as revenue expenses in accordance with IAS-23 "Borrowing Cost."

3.8 Statement of Cash Flows

Statement of Cash Flows has been prepared principally in accordance with IAS-7 "Statement of Cash Flows" and the cash flows from the operating activities have been presented under direct method.

3.9 Segmental Reporting:

No segmental reporting is applicable for the company as required by IAS 14: "Segment Reporting" as the company operates in a single industry segment and within a single geographical territory.

3.10 Earning per share

The company presented basic earning per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period.

3.11 Materiality and Aggregation

Each material class of similar items is presented separately in the financial statements. Items of dissimilar nature or function are presented separately unless they are immaterial.

3.12 Employee Benefit Plan

The company maintains defined benefit plan for its eligible permanent employees. The eligibility is determined according to the terms and conditions set forth in the respective deeds.

The company has accounted for and disclosed employee benefits in compliance with the provisions of IAS 19: Employee Benefits.

3.13 Investment Property

Investment property is property (land or a building—or part of a building—or both) held (by the owner or by the lessee under a finance lease) to earn rentals or for capital appreciation or both

3.14 Events After the Balance Sheet Date

Events after the reporting date that provide additional information about the Company's position at the reporting date are reflected in the financial statements. Events after the reporting date that are not adjusting events are disclosed in the notes when material.

3.15 Components of Financial Statements

The financial statements comprise the following;

- Statement of Financial Position as on 30th June 202#,
- Statement of Profit or Loss and Other Comprehensive Income for the year ended 30th June 202*

- Statement of Changes in Equity for the year ended 30th June 202#,
- Statement of Cash Flows for the year ended 30th June 202#, and
- Accounting Policies and explanatory notes to the Financial Statements .

#Name Telecom Limited
Notes to Accounts
For the year ended June 30, 2024

Note-4: Advance, Deposit & Prepayments : Tk. 2,100,000

Particulars

Office Rent

Advances

2023-2024	2022-2023
Taka	Taka
100,000	300,000
5,000,000	5,000,000
450,000	5,300,000

Note-5: Cash & Bank Balance : Tk. 33,547,368.00

Particulars

Cash in Hand

Cash at Bank: Dutch-Bangla Bank Ltd.

Taka	Taka
33,240,563	34,212,152
306,805	560,905
2,300,000	34,773,057

Note-6: Share Capital : Tk. 100,000,000.00

Particulars

Authorised capital 10,00,000 share @ tk.100 each

Issued subscribed & paid up capital

253,980 share @ tk. 100 each (For Shareholders)

244,020 Ordinary shares of TK.100 each (For EEF Division ICB)

Taka	Taka
100,000,000	100,000,000
25,698,000	25,698,000
24,402,000	24,402,000
10,000,000	50,100,000

Note-7: Retained Earnings : Tk. (4,381,339.00)

Particulars

Opening Balance

Add/(Less): Balance during the Year from P/L

Closing Balance

Taka	Taka
(4,101,835)	(3,482,527)
2,510,000	(619,308)
2,100,000	(4,101,835)

Note-8: Provision for Expenses : Tk. 450,204.00

Particulars

Opening Balance

Add: During the year

Audit Fee

Income tax

Salary & Allowance

Office Rent

Less: Paid during the Year

Taka	Taka
373,617	329,415
409,621	373,617
51,111	51,111
90,000	102,296
258,510	210,210
10,000	10,000
(373,617)	(329,415)
300,000	373,617

Note-9: Gross Revenue : Tk. 21,763,723.00

Revenue

Taka	Taka
21,763,723	17,049,347
15,000,000	17,049,347

Note-10: Cost of Services Sold : Tk. 18,381,251.00

Direct Expenses

Taka	<u>Taka</u>
18,381,251	14,375,845
10,500,000	14,375,845

Note-11: Administrative Overhead : Tk.4,089,149.00**Particulars**

Director Remunaretion

Salary & Allowance

Office Rent

Mobile & Allowance

Office Expenses

Printing & Stationary

Audit Fee Including VAT

Depreciation

Taka	<u>Taka</u>
600,000	500,000
3,102,123	2,015,210
120,000	120,000
25,452	14,215
35,520	24,000
45,874	27,454
51,111	51,111
109,069	132,950
1,800,000	2,884,940

Note-12: Financial expenses: Tk. 2,824.00

Bank Charge & Commission

Total

Taka	<u>Taka</u>
2,824	5,574
100,000	5,574

#NameTelecom Limited
Schedule of property, plant & equipment
For the year ended 30 June, 2024

Annexure-A

Amounts in BDT

Particulars	Cost				Depreciation					Written down value
	Opening balance	Addition during the year	Disposal during the year	Closing balance	Rate (%)	Opening balance	Charged during the year	Adjustment during the year	Closing balance	
Furniture & Fixture	217,990	-	-	217,990	10%	93,666	12,432	-	106,098	111,892
Land and Land	9,744,000	-	-	9,744,000	0%	-	-	-	-	9,744,000
Office Equipment	212,000	-	-	212,000	10%	92,540	11,946	-	104,486	107,514
Computer & Accessories	1,398,626	-	-	1,398,626	20%	975,173	84,691	-	1,059,864	338,762
As at 30 June 2024	11,572,616	-	-	11,572,616		1,161,379	109,069	-	1,270,448	9,850,000
As at 30 June 2023	11,572,616	-	-	11,572,616		1,028,429	132,950	-	1,161,379	10,411,237